- Along the entire supply chain for supply of cash, banking system will bear the highest cost primarily because of high fixed costs of ATM machines, counting, recounting, recycling, transport and storage of larger volumes of cash.

SCENARIO ANALYSIS

- If the ₹500 and ₹1000 denomination notes are removed, in order to maintain the same amount of liquidity, the number of other denomination notes will have to be increased. A hypothetical scenario analysis in which in lieu of ₹500 and ₹1000 denomination currency notes, ₹5000 denomination notes are introduced so that ₹100 and ₹5000 notes contribute 2/3rd and 1/3rd of the total value in circulation shows that the ATM replenishment frequency still increases to 3.57 times per day (a high transaction ATM which runs out of cash once a day will fall short of currency several times a day. This is so because cash replenishment agencies will take a couple of hours to respond, customers will be affected because of the downtime). The costs also shoot up by ₹15 billion.

Table 2: Scenario Analysis

Denomination (Rs)	Scenario 1: When Different Denomination Notes are present		Scenario 2: When 500 and 1000 Denominations are removed and 5000 denomination note is introduced	
	Volume Daily	Value Daily	Volume Daily	Value Daily
100	175	17500	2475	247500
500	350	175000	0	0
1000	175	175000	0	0
5000	0	0	24	120000
Total	700	367500	2499	367500
Notes per ATM (million pieces)(per day)	0.0007	0.0007	0.0025	0.0025
ATM Replenishment Frequency (per day)	**1**	**1**	**3.57**	**3.57**
Source: SBI Research				

CONCLUSION

- The news of the demonetization of currencies of denomination 500 and 1000 has been doing the rounds for a while, and this may be a plausible reason for increase in currency with public. The rationale for this is that people are taking out cash and buying other assets such as gold so that when the currency is demonetized they do not face a problem.
- Our considered view, therefore, would be that should demonetization be seriously contemplated, a road map needs to be created. It needs to be done in steps and be balanced with creation of necessary electronic and digital infrastructure in the country coupled with creating awareness and financial literacy for ensuring that the man on the street is not put to undue hardship.

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